

SUBCONTRACT AGREEMENT (REVISION B)

This Subcontract Agreement ("Agreement") is entered into between Cascade Ridge Construction ("Contractor") and Summit Mechanical Services LLC ("Subcontractor") for work on the Lakeview Medical Office project located in Bellingham, WA. This Revision B supersedes the prior draft and reflects the negotiated, balanced terms.

1. SCOPE OF WORK

Subcontractor shall furnish all labor, materials, and equipment necessary to complete the HVAC and plumbing rough-in for the Lakeview Medical Office, in accordance with the Contract Documents and the project schedule.

2. TERM

This Agreement shall commence on the Effective Date and shall remain in effect until Subcontractor's work is finally completed and accepted, but in no event later than eighteen (18) months from the Effective Date, unless extended by written change order signed by both parties.

3. PAYMENT

Contractor shall pay Subcontractor for work satisfactorily completed within thirty (30) days following Contractor's receipt of Subcontractor's approved monthly application for payment. Contractor shall retain five percent (5%) of each progress payment as retainage, to be released within sixty (60) days of final acceptance.

4. TERMINATION

Either party may terminate this Agreement for its convenience upon thirty (30) days written notice to the other party. Either party may terminate for cause if the other party fails to cure a material default within fourteen (14) days of written notice. Upon termination for convenience, Subcontractor shall be paid for work properly performed through the date of termination plus reasonable demobilization and close-out costs.

5. INSURANCE

Subcontractor shall maintain commercial general liability insurance with limits of not less than \$1,000,000 per occurrence and shall name Contractor as an additional insured.

6. INDEMNIFICATION

To the fullest extent permitted by law, each party shall indemnify, defend, and hold harmless the other party from and against any claims, damages, losses, and expenses, including reasonable attorneys' fees, but only to the extent caused by the negligent acts or omissions of the indemnifying party. This indemnification obligation is mutual and reciprocal.

7. LIMITATION OF LIABILITY

Except for its indemnification obligations and losses caused by gross negligence or willful misconduct, each party's aggregate liability arising out of or related to this Agreement shall not exceed the total Subcontract amount paid or payable under

this Agreement.

8. GOVERNING LAW

This Agreement shall be governed by the laws of the State of Washington.

IN WITNESS WHEREOF, the parties have executed this Agreement as of the Effective Date.